Furthermore, if at age 65 you have liquid financial assets that are only five times greater than your desired annual income level, then you are, quite frankly, doomed. You certainly won't be able to invest or gamble your way out of this conundrum.

With these polar opposites out of the way, I am ready to address the question of an appropriate asset mix to support a desired annual consumption requirement. In other words, given a desired standard of living, what asset allocation—or mix between stocks, bonds, and short-term reserves, such as money market funds—will minimize the probability that you will run out of money during your retirement years?

Let's look at some hypothetical numbers. You have just retired at age 65 with a fairly decent Social Security and company pension, which should provide a large portion of consumption needs on an annual basis. In addition, after many years of contributing financial capital to a 401(k), IRA, or 403(b) plan, you have managed to build a nest egg of approximately $200,000, which is currently sitting in an assortment of mutual funds, term deposits, and other minor investments. The house, fortunately, is fully paid for, and you have no other major liabilities.

After conducting a needs analysis, taking full account of lifestyle choices and retirement plans, you have determined that you require, in addition to your pension, approximately $10,000 every year for the rest of your life. Let's call this the income gap, which is illustrated in Figure 8.1. Naturally, the hope is that the nest egg will be able to provide this additional amount.

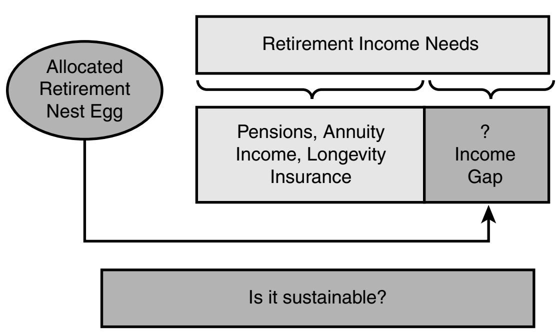

Figure 8.1 Will your nest egg fill the income gap?

Source: Moshe Milevsky and the IFID Centre, 2008.